Case Study: UPI Payment Fraud (Realistic Scenario Based on Common Incidents)

UPI (Unified Payments Interface) fraud is a type of cybercrime where scammers trick users into transferring money or sharing sensitive details like UPI PINs or OTPs. In India, such frauds have increased due to the widespread use of apps like Google Pay, PhonePe, and Paytm.

A common scenario involves a fraudster posing as a buyer on an online marketplace. Step-by-step, the crime unfolds as follows:

1. The scammer contacts the victim, showing interest in buying an item.
2. They send a “collect request” or QR code, claiming it is needed to “receive payment.”
3. The victim is asked to enter their UPI PIN to accept the request.
4. Instead of receiving money, the victim unknowingly authorizes a payment.
5. The scammer quickly transfers or withdraws the funds, making recovery difficult.

In many real cases, fraudsters also impersonate bank officials or acquaintances to gain trust. For example, a recent case reported a victim losing ₹1.45 lakh after a fraudster pretended to be a known contact and extracted UPI-related information.

The primary targets are students, elderly people, and individuals unfamiliar with digital payment systems. These groups are more likely to trust urgent calls, attractive offers, or authority figures.

The consequences can be severe: financial loss, emotional stress, and low chances of recovery if action is delayed. Since UPI transactions are instant, money is often moved across multiple accounts quickly.

This case highlights the importance of awareness—users must remember that entering a UPI PIN always means money is being sent, not received.